ABSA Bank Kenya PLC

RECOMMENDATION

SELL || TARGET PRICE || KES 19.06

Investment Thesis

Historical.
I built a five-year historical model for ABSA Bank Kenya covering 2021 to 2025 across the income statement, balance sheet and key ratios.
Loan growth slowed sharply, from 21.1% in 2022 to 1.0% in 2025, after a 7.9% contraction in 2024, as pressure on household disposable income held back demand for credit.
Customer deposit growth also cooled, from 19.6% in 2023 to 1.8% in 2025, as management moved away from expensive funding.
The Cost-to-income ratio (CIR) improved from 51.2% to 36.6%. ABSA attributes the earlier gains to operating model redesign and transformational investments that significantly reduced our structural costs - (2022 Integrated Report), and describes recent efficiency as driving down total costs while we continue to make strategic investments for future growth - (2025 Investor Briefing).
Cost of risk (CoR) declined from 3.26% to 2.01%. ABSA credits improved portfolio quality and rigorous collection efforts for lower impairments - (2025 Investor Briefing) and describes its loan loss rate as having decreased due to robust collection strategies. This suggests better recoveries and a more cautious perspective on the loan book are driving the improvement. Profit after tax still rose from KES 10.3bn in 2021 to KES 20.9bn in 2025, driven by cost control and a lower cost of risk.
The Dividend payout ratio fluctuated between 58% and 43%. ABSA describes its dividend decisions as striking a balance between the Company's requirement for continuing investments and meeting shareholder expectations - (2023 Integrated Report). This suggests payout moves with earnings and with competing capital needs, so variation is expected.

Forecast.
The 2026 to 2030 forecast holds the historical ratios steady. Loans grow 8.1% a year and customer deposits 9.0% a year, which lifts total assets from KES 536.7bn in 2025 to KES 820.8bn in 2030. The cost-to-income ratio is held at 44.9%, cost of risk at 2.68% of loans and the dividend payout ratio at 48.3%. These assumptions give profit after tax of KES 19.6bn in 2026 rising to KES 26.6bn in 2030, and dividends of KES 9.4bn rising to KES 12.9bn over the same period.

Valuation.
I used a Dividend Discount Model with a 15% cost of equity and a 5% terminal growth rate. The present value of 2026 to 2030 dividends is KES 36.4bn and the present value of the terminal value is KES 67.2bn, giving an equity value of KES 103.5bn. Divided by 5.43bn shares outstanding, this gives a price target of KES 19.06. I approached the valuation from a pure intrinsic value perspective. I don't care what the market is doing today; I care about the future cash flows (dividends) this bank will generate. My Dividend Discount Model shows that the fair value of those future cash flows is KES 19.06. The stock is currently trading at KES 34.50. As a fundamental value investor, paying KES 34.50 for a basket of assets worth KES 19.06 is overpaying. Therefore, my recommendation is **SELL** based on fundamentals.

Valuation Table

Dividend Discount Valuation			
All Figures in Kshs `000			
Cost of Equity	15.00%		
Terminal Growth Rate	5.00%		
Year	Dividend	Discount Factor	Present Value
2026	9,447,804	0.87	8,215,482
2027	10,205,575	0.76	7,716,881
2028	11,024,188	0.66	7,248,583
2029	11,908,536	0.57	6,808,744
2030	12,863,909	0.50	6,395,636
Present Value of 5-Year Dividend			36,385,326
Terminal Value (2030)	135,071,041		
PV of Terminal Value	67,154,179		
Total Equity Value	103,539,505		
Shares Outstanding as at 31/12/2025	5,431,536		
Implied Target Price	KSh19.06		

Key Risks

Risk 1:
Takeover premium and parent-company support. The market price sits well above the model value. ABSA Group has offered to buy more of the Kenyan unit at KES 34.50 a share, and the stock has traded near that level since. If the parent tries again, or investors keep paying for that possibility, the shares could hold or exceed the current price regardless of the dividend-based value. This is the main risk to a SELL call.

Risk 2: Asset quality and the model's sensitivity. About 65% of the equity value comes from the terminal value, so the target price is highly sensitive to the 15% cost of equity and 5% terminal growth rate. A lower cost of equity or faster growth would raise it materially. Cost of risk was 3.3% in 2023 and could rise again if high inflation and elevated interest rates keep pressuring borrowers' repayment capacity, which would cut profit and dividends.

Appendix

All Figures in Kshs `000					
Appendix					
Key Forecast Drivers	**2026**	**2027**	**2028**	**2029**	**2030**
Loan growth	8.13%	8.13%	8.13%	8.13%	8.13%
Customer deposit growth	9.01%	9.01%	9.01%	9.01%	9.01%
Cost to income ratio	44.87%	44.87%	44.87%	44.87%	44.87%
Cost of risk	2.68%	2.68%	2.68%	2.68%	2.68%
Dividend payout ratio	48.32%	48.32%	48.32%	48.32%	48.32%
Profit After Tax	19,553,138	21,121,419	22,815,617	24,645,860	26,623,095
Dividends	9,447,804	10,205,575	11,024,188	11,908,536	12,863,909